

IndiaKart Business Health & Performance

Executive Management Report

Date: July 23, 2026 | Prepared by: Pondharani Devendra

Executive Summary:

Right now, the business is doing well in some areas but struggling in others.

We have successfully completed over 50,000 orders, and people are spending a solid amount an average of ₹63.20K per order. We also have a strong base of 10,000 customers, mostly made up of our "Regular" shoppers who live in major Indian states.

But there is a big problem: our total sales took a huge, sudden dive in the middle of 2025, and we don't know why. We need to figure this out and fix it right away.

Even with this drop in sales, our daily operations are still running smoothly. Our cancellation rate is completely normal at 11.99%, and our warehouses across the country have plenty of stock.

Basically, our deliveries and customer loyalty are strong, but we urgently need to solve this recent drop in sales so the company can keep growing.

Top 3 Findings:

- **Electronics is Our Biggest Money-Maker:** Our electronics category brings in over 1.5 billion in sales, which is more than all our other categories combined. Most of these sales come from top brands like Ambrane, Godrej, and Pidilite.
- **Payments and Deliveries are Working Great:** Most of our customers like to pay digitally 35% use UPI and 20% use credit cards. Also, our shipping companies (Shadowfax, XpressBees, and Delhivery) are doing a great job sharing the work evenly and have successfully delivered over 32,500 orders.
- **Customer Growth Has Flattened Out:** We gained a huge number of new customers in early 2023, but that growth has slowed down. The good news is that 40% of our buyers are "Regulars" who keep coming back and give us steady sales. The bad news is that we are struggling to find new shoppers, with new customers stuck at just 15% of our total base.

Risks Identified

- **Big Drop in Sales:** Our biggest problem is that total sales fell off a cliff in the middle of 2025. Looking at the charts, sales dropped from their highest point and haven't bounced back yet.
- **Too Many Car Parts Returned:** People are returning car-related items more than anything else. This makes it hard to make money on these products because shipping returns back to us is very expensive.
- **Low Stock in Certain Areas:** Even though 92.2% of our items are in stock, the ones we are running out of are mostly located in our Hyderabad and Mumbai warehouses. This means we might be late shipping popular items to customers in those areas.
- **Lots of Cancellations and Returns:** We had 6,000 cancelled orders and about 3,930 returned ones. This means about 20% of the orders people place don't actually end up making us money.

Opportunities

- **Selling More to Electronics Buyers:** Since electronics are selling so well, we should try suggesting other related items (like office supplies or home goods) to those same buyers before they check out. This will encourage them to buy more things at once.
- **Bringing Back Older Customers:** We gained a lot of customers back in early 2023, and very few of them have completely stopped using our site. We should send them special emails or app alerts to get them to come back and buy again, which will help fix our low sales.
- **Encouraging Online Payments:** Only 11.77% of people pay with cash when their package arrives. If we offer a small reward (like a 2% discount or free shipping) for paying with a card or UPI online instead, it will push that number even lower. This is good because people who pay online are less likely to cancel or return their orders.

Recommendations

- **Figure Out Why Sales Dropped:** We need our marketing, sales, and tech teams to work together right away to see exactly what went wrong in mid-2025. Was the website broken? Did we stop running ads? Once we know the reason, we should run a special promotion to win those shoppers back.
- **Restock the Hyderabad and Mumbai Warehouses:** Our buying team needs to hurry and order more of the low-stock items (like Ambrane and Bajaj products) for our Hyderabad and Mumbai warehouses. Having enough stock there will stop shipping delays in southern and **western India.**
- **Check the Quality of Car Products:** Because so many car items are being returned, we need to strictly check the companies supplying them. We have to make sure the products really match their pictures online. If a supplier keeps sending bad items, we should stop selling their products so we don't have to keep paying for returns.